

MGTP 432: Advanced Auditing & Forensic Accounting

FALL 2026

Tuesdays, 11:30 am – 2:20 pm

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OFFICE LOCATION: Wells Fargo Hall (WFH) 3N124

OFFICE HOURS: Tuesdays, 2:30–3:30 pm, in person (WFH 3N124) or virtual via Zoom; or by appointment, subject to mutual availability

TEACHING ASSISTANT/TUTOR: TBD — to be announced on Canvas

EMAIL: TBD — to be announced on Canvas

DESCRIPTION

You have already learned how an audit works. In this course, you perform one — and you learn what happens when audits fail. MGTP 432 provides a graduate-level, applied treatment of the financial statement assurance function, with emphasis on audit judgment, evidence evaluation, data analytics, and forensic accounting.

The course is organized around three connected experiences. First, your team runs a staged audit engagement across the entire quarter — from client acceptance through risk assessment, controls testing, substantive procedures, and the audit report — building a complete engagement file the way a professional team would. Second, a forensic accounting arc examines how frauds are committed, detected, and investigated, culminating in a team investigation of a real enforcement case. Third, the course is deliberately aligned with the CPA Exam (AUD): assigned Becker CPA Review modules, in-class CPA Prep questions, and a Week 10 Mock AUD Comprehensive Check connect each week's work to the exam you will sit for — while the midterm exam tests the deeper analysis and evaluation skills that both the AUD section and professional practice demand.

A deliberate design choice: there is no finals-week exam. The first half of the course — the conceptual core of risk, planning, and controls — is examined on the midterm. The second half is examined the way professional practice examines you: through the engagement file your team builds, your individual data analytics work, your fraud investigation, and a comprehensive CPA-format check in Week 10.

Because this course introduces substantial professional terminology and judgment frameworks, consistent weekly preparation is essential. The reading and preparation layer (SmartBook and Becker) is deliberately structured with one deadline per week so that class time can be devoted to application, discussion, and decision-making.

OBJECTIVES

Building on your prior auditing coursework, this course emphasizes applying professional standards and exercising the judgment required in professional practice. At the close of this course, you will be able to:

- Evaluate client acceptance and engagement risk, and support the decision in a professional memo
- Design and defend a risk-based audit plan, including materiality judgments and responses to assessed risks of material misstatement
- Test internal controls, evaluate deficiencies (deficiency, significant deficiency, material weakness), and determine the impact on the audit approach
- Execute substantive procedures on transaction-level data using audit data analytics tools, and evaluate identified misstatements
- Detect, investigate, and communicate indicators of fraud using forensic accounting techniques
- Form and communicate audit conclusions, including selecting and drafting the appropriate audit report
- Exercise professional skepticism and judgment at the analysis and evaluation levels tested on the CPA Exam (AUD)

MATERIALS

Required

- *Auditing & Assurance Services, 2026 Release*, by Spiceland, Thomas, and Hermann, with Connect access (McGraw Hill). The textbook and Connect are loaded directly on Canvas through Inclusive Access at a significant discount. You may opt out via the instructions emailed by the library; if you opt out, you are responsible for sourcing the material yourself.
- Becker CPA Review (AUD) — provided through the program's partnership. Access and registration instructions are posted on Canvas. Assigned Becker modules are part of your Weekly Prep Bundles.
- EY Academic Resource Center (EYARC) case materials, including the TechWear audit data analytics case and the EY Helix GL Analyzer (student edition). Distributed through Canvas; no purchase required.
- A laptop for in-class lab sessions (required for Week 7). The EY Helix student edition and all analytics work run on standard hardware.

Recommended

- PCAOB auditing standards and Spotlight publications, available free at pcaobus.org
- Center for Audit Quality (CAQ) publications, available free at thecaq.org

SCHEDULE

Consistent with University policy, I retain the right to adjust the course syllabus and design, including assignments, assessments, and deadlines. Major departures from the syllabus shall be made only for compelling reasons. Any major changes will be announced in class, communicated electronically, and incorporated into an updated posted version of the syllabus.

Table 1. Weekly schedule of topics, activities, and due dates. Prep Bundles are due Mondays at 11:59 pm before class.

Date	Due	Class Topic & Activities	Assignments
Week 1 Tue Sep 29	None	Course Introduction: The Auditing Profession and Professional Standards (Ch. 1, Ch. 2, Mod. A, Mod. B)	None
Week 2 Tue Oct 6	Prep Bundle 1 (Mon 11:59 pm)	Client Acceptance and Engagement Risk (Ch. 3, acceptance sections)	None
Week 3 Tue Oct 13	Prep Bundle 2	Planning, Materiality, and Audit Evidence (Ch. 3)	Simulation #1: Client Acceptance Memo
Week 4 Tue Oct 20	Prep Bundle 3	The Audit Risk Model and Fraud Risk (Ch. 4)	None
Week 5 Tue Oct 27	Prep Bundle 4	Using and Testing Internal Controls (Ch. 5 and Mod. I, selected sections)	Simulation #2: Risk Assessment and Planning Memo
Week 6 Tue Nov 3	Prep Bundle 5 (Becker cumulative review - no new reading)	Midterm Exam (11:30 am-2:20 pm; no lecture)	Midterm Exam
Week 7 Tue Nov 10	Prep Bundle 6	The Revenue Cycle, Audit Sampling, and Audit Data Analytics (Ch. 7, sampling sections, Mod. G, Mod. H selected sections)	Simulation #3: Controls Testing and Deficiency Evaluation
Week 8 Tue Nov 17	Prep Bundle 7	Forensic Accounting: Finding the Fraud (Ch. 6, selected sections)	Individual Data Analytics Deliverable
Week 9 Tue Nov 24	Prep Bundle 8 (includes Wirecard memo)	Completing the Audit (Ch. 11)	Simulation #4: Substantive Testing and Misstatement Evaluation

Date	Due	Class Topic & Activities	Assignments
Week 10 Tue Dec 1	None	Reports on Audited Financial Statements (Ch. 12, App. 12A); Mock AUD Comprehensive Check	Mock AUD Comprehensive Check (in class); Fraud Autopsy Project
Finals Tue Dec 8	None	No final exam	Simulation #5: Audit Report and Completion Checklist (due 11:59 pm)

ASSIGNMENTS

Each assignment below is designated as: I — independent, individual work only; G — group work with one team submission; or C — collaboration on concepts allowed, but each student submits their own work.

Weekly Prep Bundles (I) — 10%

Each week's foundation layer is packaged as a single Prep Bundle with one deadline: Monday at 11:59 pm before class. A bundle contains (a) the SmartBook assignment for the week's chapter(s) and (b) the assigned Becker AUD module(s) mapped to the same topics, tracked through the Becker Navigator dashboard. Two bundles differ slightly: Bundle 5 (midterm week) contains no new reading — it is a Becker cumulative review set supporting your exam preparation — and Bundle 8 also includes a one-page preparation memo on the Wirecard case, which readies you for the Week 9 discussion. Bundles are graded on completion. There are eight bundles; your lowest bundle score is dropped. Completing the bundle before class is what allows class time to focus on application rather than first exposure — come prepared with questions on anything you found difficult.

In-Class Participation and Professionalism (I) — 10%

Each class includes CPA Prep questions drawn from the Becker AUD question bank and aligned with that week's material, answered in class through the course response system. Points can only be earned in class during your scheduled class time, and there is a strict no-make-up policy for missed in-class questions. The professionalism component reflects consistent attendance and punctuality, preparation, active engagement in case discussions and simulation work sessions, and professional conduct toward classmates.

Audit Simulation (G) — 30%

Working in assigned teams of four to five, you will conduct a staged audit engagement of a simulated client across the quarter, submitting five installments that together form a complete engagement file: (1) Client Acceptance Memo and engagement letter (4%); (2) Risk Assessment and Planning Memo (6%);

(3) Controls Testing and Deficiency Evaluation (6%); (4) Substantive Testing and Misstatement Evaluation (8%); and (5) Audit Report and Completion Checklist (6%).

- All memos are limited to two pages plus exhibits. Page limits are enforced; concise professional writing is part of the skill being assessed.
- Installments 2 and 4 include a brief team oral defense, scheduled during class work sessions.
- Each team receives its own data parameters; deliverables are graded on the quality of working papers, reasoning, and professional communication.
- Engagement roles (partner, manager, senior, staff, reviewer) rotate each installment so that every member leads at least once.
- Team-member contributions are assessed through the Rady peer-evaluation tool after installments 2, 4, and 5, and factor into individual grades.

Individual Data Analytics Deliverable (I) — 10%

An individual journal-entry-testing analysis using the EY Helix GL Analyzer / TechWear data, opened at the Week 7 lab and due Week 8. This deliverable carries meaningful individual weight by design: it ensures every student — not just a team delegate — can plan, execute, and communicate audit data analytics. You may discuss approaches with classmates, but all analysis and writing must be your own.

Fraud Autopsy Project (G) — 10%

Launched Week 7 and due Week 10, teams investigate a real fraud selected from a curated list anchored in PCAOB and SEC enforcement documents. Your team will produce an eight-minute recorded presentation and a one-page executive summary addressing: what happened; what the auditors did and should have done; which course concepts were violated; and what today's analytics would have detected. Presentations are peer-reviewed in class during Week 10 using an engagement-quality-review rubric, and the class votes an EQR Award for the strongest investigation.

Midterm Exam (I) — 25%

The midterm is a standalone, full class session during Week 6 (11:30 am–2:20 pm) — there is no lecture that day. It covers Weeks 1–5 (the conceptual core: the profession and its standards, acceptance, planning, materiality, evidence, audit risk, fraud risk, and the use and testing of internal controls) and mirrors the structure of the CPA AUD exam. Part 1 consists of scenario-based multiple-choice questions; Part 2 consists of task-based simulations — document review, deficiency evaluation, and short memo tasks built on the kinds of situations discussed in class and in the audit simulation. The exam is written by the instructor, not drawn from a publisher test bank, and tests analysis, evaluation, and judgment: expect “what is the MOST appropriate response” questions, not definition recall. An exam blueprint (topic weights, question formats, and timing for each part) will be posted at least two weeks in advance, and the weekly in-class CPA Prep questions use the same formats all quarter, so nothing about the

exam's style will be a surprise. There is a strict no-make-up policy. The midterm is graded anonymously (see Course Policies).

There is no final exam. The second half of the course is assessed through the applied work it produces — Simulation installments #3–#5, the Individual Data Analytics Deliverable, the Fraud Autopsy Project, and the Mock AUD Comprehensive Check.

Mock AUD Comprehensive Check (I) — 5%

In class during Week 10, you will complete a CPA-format assessment spanning the full quarter, built from AUD-exam-style questions. It is deliberately low-stakes — graded on completion and good-faith performance — and is immediately followed by a live debrief of the most-missed questions. Its purpose is diagnostic: it shows you, four weeks before many of you begin dedicated AUD study, exactly where you stand.

GRADING

Table 2. Calculation of course grade. Your course grade is based on the following weighted components.

Assignments	Percentage
Weekly Prep Bundles (SmartBook + Becker modules; 8 bundles, lowest dropped)	10
In-Class Participation and Professionalism (includes CPA Prep questions)	10
Audit Simulation — five installments (4 + 6 + 6 + 8 + 6)	30
Individual Data Analytics Deliverable	10
Mock AUD Comprehensive Check (Week 10)	5
Fraud Autopsy Project	10
Midterm Exam	25
Total	100%

Expected Workload

This is a demanding quarter — you are taking a full course load, recruiting, and beginning CPA exam preparation. This course is designed to respect that. The table below shows the expected out-of-class hours for this course by week, including team coordination time. Treat it as a design commitment: if a week is running materially over these estimates, tell me.

Table 3. Estimated out-of-class workload by week. Quarter average is approximately 6 hours per week.

Week	Estimated Hours	Primary Driver
Week 1	2	Getting oriented; no deliverables
Week 2	4	First Prep Bundle; simulation team setup
Week 3	6	Simulation #1
Week 4	4	Lighter week (recruiting season)
Week 5	7	Simulation #2 and oral defense
Week 6	8	Midterm preparation
Week 7	7	Simulation #3; Fraud Autopsy begins
Week 8	6	Individual analytics deliverable
Week 9	7	Simulation #4; Bundle 8 with Wirecard memo (before Thanksgiving)
Week 10	5	Fraud Autopsy (completed over prior three weeks); light Mock AUD review
Finals	3	Simulation #5 (report only) — no exam

How This Course Differs from a First Course in Auditing

Some of you completed MGT 132 (or an equivalent undergraduate auditing course) recently. The early weeks revisit familiar territory — deliberately, at speed, and at a different altitude. The foundational chapters are compressed into self-study and Week 1; class time goes to application, and the work products are entirely different.

Table 4. Comparison of the undergraduate auditing course and MGTP 432.

Dimension	MGT 132 (undergraduate)	MGTP 432 (this course)
Your role	Student learning the audit process	Staff auditor executing an engagement
Core experience	Concept mastery and case discussion	A complete engagement file built across ten weeks, from acceptance to signed report
Fraud	One topic within audit risk	A full forensic arc: detection analytics, interviewing, Wirecard, and a fraud investigation project
Tools	Excel and course cases	EY Helix GL Analyzer, TechWear analytics, Becker CPA review

Dimension	MGT 132 (undergraduate)	MGTP 432 (this course)
Assessment	Concept checks and exams	An instructor-written midterm at the CPA Analysis/Evaluation level, oral defenses of working papers, and no final exam — the engagement file closes the course

CHATGPT AND OTHER AI TOOLS

AI tools can be useful for enhancing clarity, structure, and grammar in your writing. In this course, you may use such tools only to support and refine your own original work — not to generate complete responses, analyses, or arguments on your behalf. Any use of AI-generated content must be meaningfully revised and integrated into your own reasoning.

Each assignment states whether AI use is permitted. Note that this course also treats AI as an object of study: in Week 9 you will critique an AI-drafted audit memo, because evaluating machine-generated analysis with professional skepticism is now part of the auditor's job.

Because MGTP 432 is designed to build the professional judgment needed for auditing practice and CPA exam success, it is essential that you demonstrate your own learning and critical thinking. Submitting AI-generated work — particularly for simulation installments, the Fraud Autopsy, or exams — undermines your professional development and may be treated as an academic integrity violation under university policy. Auditing, like the CPA profession itself, is built on independence, integrity, and accountability. Your work in this course should reflect those same values.

COURSE POLICIES

Attendance

Regular attendance is essential for success in this course. Because this course emphasizes case discussion, simulation work sessions, and applied exercises, your presence contributes significantly to both your learning and your team's. If you are not in attendance, you cannot earn participation points for that session, and participation points cannot be made up for unexcused absences. If you must miss class due to illness, emergency, or university-sanctioned events, please notify me in advance when possible.

Late and Make-Up Work

Assignments must be submitted by the posted due date and time to receive full credit. Exceptions may be considered only for documented, university-approved absences (UC San Diego-sanctioned events, religious observances, medical emergencies). For known absences, request approval and provide

documentation at least one week in advance of the due date. The lowest Prep Bundle score is dropped automatically, which covers routine disruptions; please reserve requests for genuine emergencies.

Anonymous Grading

Consistent with Rady School policy, grading in this course uses Canvas's anonymous grading feature wherever the assignment format permits, including the midterm exam and written individual deliverables. Team deliverables and oral defenses cannot be anonymized by nature; those are graded against published rubrics, and subjective elements are calibrated by the instructor.

Peer Evaluations

Team-based work in this course uses the Rady peer-evaluation tool. Evaluations are confidential, are completed at three points in the quarter, and inform individual adjustments to team grades. Professional, specific feedback is expected — writing a useful peer evaluation is itself a professional skill.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.